

Standard Operating Procedures (SOPs)

Accounts Payable & Treasury – ABC Ltd.

CFO Absolute Control Framework | Zero Tolerance on Fraud

Common Frauds & Risks – AP & Treasury at ABC Ltd.

Dairy/beverage industry context: high-volume transactions, perishable goods, multi-location operations (Nairobi HQ + rural depots/chilling stations), widespread use of M-Pesa and cash → significantly elevated fraud exposure.

1. Duplicate payments — Same invoice paid twice (intentional via slight changes or accidental then exploited).
2. Fake/fictitious invoices — Shell companies submit bills for non-delivered milk powder, sugar, spares, or services.
3. Unauthorized payments — Rogue approvals for fake emergencies, advances to colluding transporters, personal expenses.
4. **Vendor impersonation / Bank change fraud (BEC)** — Fraudsters spoof supplier emails requesting new bank details; funds diverted.
5. Shell companies / Ghost vendors — Employee or relative sets up fake entity; invoices for "consultancy" or "transport" paid out.

6. Kickbacks & collusion — AP staff favors suppliers for bribes; inflated prices or fake deliveries accepted.
7. Check tampering / Forgery — Alter payee/amount on cheques; forge signatures (still occurs in some rural depots).
8. Petty cash abuse — Inflated vouchers, fake receipts for fuel/spares at chilling stations/depots.
9. Payroll ghost employees — Fake staff added (especially remote sites); salaries diverted.
10. **Treasury-specific** — Unauthorized inter-account transfers, fake forex deals, cash skimming, unmonitored M-Pesa payments.
11. Invoice laundering — Legitimate invoices inflated; difference kicked back.
12. Pass-through schemes — Fake vendor buys from real supplier; markup pocketed.
13. Expense reimbursement fraud — Fake travel/allowance claims by depot managers.
14. Multi-location risks — Local depot staff process payments with minimal Nairobi oversight; override approvals.
15. Cyber-enabled — Phishing → credential theft → unauthorized EFTs; SIM-swap attacks on mobile banking.

These schemes cause multi-million losses annually. Perishable, high-volume procurement makes detection particularly difficult.

Detailed SOPs – CFO Absolute Control

Core Governance Rules

- All payments > KES 100,000 require **CFO approval**.
- Vendor master & bank accounts **centralized in Nairobi** — no local additions.
- Full ERP/AP automation (procurement + inventory integrated) mandatory within 6 months.
- Interim: locked digital workflows + scanned documents only.
- **Zero tolerance**: fraud → immediate dismissal, prosecution, full recovery + blacklisting.

1. Vendor Master & Onboarding Controls

- Vendor master maintained **exclusively by Nairobi Finance**.
- New vendors require: KRA PIN, CR12/CR13, **bank letter** (not email), physical address proof, two dairy industry references.
- Mandatory site visit (Finance + Quality) for high-value vendors (milk suppliers, transporters) — photos & GPS uploaded.
- Annual vendor audit: 10% random sample + all high-risk vendors.
- Dormant vendors (>6 months inactive) flagged and locked.
- Annual staff declaration of relatives → system auto-flags related-party matches.

2. Invoice Receipt & Processing

- Invoices received centrally (Nairobi scan/email) or uploaded immediately if received at depots.
- Strict **3-way match** (PO + GRN + Invoice); tolerances: quantity $\pm 2\%$, price $\pm 3\%$.
- Discrepancies → payment held; vendor & requester notified; CFO resolves.
- Approval hierarchy: Requester → Dept Head → Finance → **CFO for >KES 100,000**.
- ERP auto-detects duplicates (invoice number, amount, vendor, date).
- Monthly duplicate-payment scan across all entities.

3. Payment Execution & Treasury Controls

- Payments only via bank transfer/EFT/RTGS; **no cash > KES 10,000** (use audited M-Pesa if unavoidable).
- Dual/triple authorization: CFO + senior officer; **> KES 500,000** requires Owner email confirmation.
- Bank detail changes: out-of-band verification (phone call to known number) + written confirmation from registered contact.
- Initial small test transfer required before locking new vendor bank details.
- Daily treasury position report to CFO.

4. Petty Cash & Imprest System

- Maximum KES 50,000 per location; replenishment only against approved vouchers + original receipts.
- Monthly surprise cash count by independent Finance nominee.
- No personal cash advances permitted.

5–10. Additional Core Controls (Summary)

- **Payroll:** Biometric + facial recognition attendance; independent payroll validation; direct bank payments only.
- **Bank Reconciliations:** Monthly by staff independent of payment processing; CFO approval within 10 days.
- **Audits & Monitoring:** Quarterly internal AP/treasury audit; annual forensic review; red-flags dashboard; anonymous whistleblower hotline (reward KES 100,000+ for proven cases).
- **Technology:** ERP with full audit trails, role-based access, 2FA on banking portals, automated alerts for large/unusual transactions.
- **Culture & Training:** Quarterly fraud awareness training; mandatory 2-week leave for high-risk roles; bonuses linked to clean audits and zero fraud.
- **Incident Response:** Red flag → immediate hold + CFO notification within 24 hours; proven fraud → police report, recovery, insurance claim, SOP update within 30 days.

ABC Ltd. Guiding Principle:

The survival of the company depends on ironclad financial controls. No mercy for compromise.

